

**NAJRAN CEMENT COMPANY
(A SAUDI JOINT STOCK COMPANY)**

**INTERIM CONDENSED CONSOLIDATED FINANCIAL
STATEMENTS (UNAUDITED)
FOR THE THREE-MONTH PERIOD ENDED
31 MARCH 2025
AND INDEPENDENT AUDITOR'S
REVIEW REPORT**

Table of contents	PAGE
Independent auditor's review report	2
Interim condensed consolidated statement of financial position	3
Interim condensed consolidated statement of profit or loss	4
Interim condensed consolidated statement of comprehensive income	5
Interim condensed consolidated statement of changes in equity	6
Interim condensed consolidated statement of cash flows	7
Notes to interim condensed consolidated financial statements	8 - 17

INDEPENDENT AUDITOR'S REVIEW REPORT

To The Shareholders Of
Najran Cement Company
(A Saudi Joint Stock Company)
Najran, Kingdom of Saudi Arabia

Introduction

We have reviewed the accompanying interim condensed consolidated statement of financial position of Najran Cement Company - A Saudi Joint Stock Company - ("the Company") and its subsidiary ("collectively referred to as the "Group"), as of 31 March 2025, and the related interim condensed consolidated statements of profit or loss and comprehensive income, changes in shareholders' equity and cash flows for the three-month period then ended and other explanatory notes. Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Accounting Standard 34, "Interim Financial Reporting" ("IAS 34"), as endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

Scope of review

We conducted our review in accordance with the International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", as endorsed in the Kingdom of Saudi Arabia. A review of interim financial statements consists of making inquiries, primarily to the persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing, as endorsed in the Kingdom of Saudi Arabia, and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

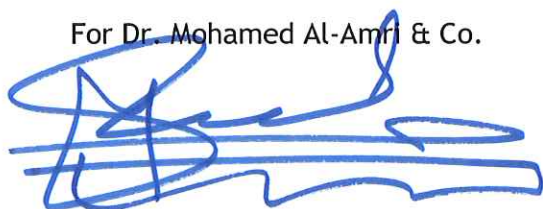
Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with "IAS 34", as endorsed in the Kingdom of Saudi Arabia.

Other matter

The interim condensed consolidated financial statement of the group for the three-month periods ended 31 March 2024 were reviewed by another auditor who expressed modified conclusion on those interim condensed consolidated financial statement on 13 Dhul-Qa'dah 1445H (corresponding to 21 May 2024G). As part of our review of the condensed consolidated financial statement of the group for the three-month periods ended 31 March 2025, we reviewed the adjustments mentioned in note (19) that were applied to restate the comparative figures presented of the condensed consolidated interim financial statements of profit or loss, other comprehensive income, and changes in equity and cash flows for the three-month period ended 31 March 2024.

For Dr. Mohamed Al-Amri & Co.



Maher Al-Khatieb
Certified Public Accountant
Registration No. 514



17/11/1446 (H)
15/05/2025 (G)

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Financial Position
(All amounts in thousands Saudi Riyals unless otherwise stated)

		31 March 2025 (Unaudited) S'000	31 December 2024 (Audited) S'000
ASSETS	Note		
Non-current assets			
Property, plant and equipment	7	2,011,717	2,029,870
TOTAL NON-CURRENT ASSETS		2,011,717	2,029,870
Current assets			
Inventories	8	389,779	379,628
Trade receivables	9	21,855	21,839
Prepayments and other receivables		38,733	28,871
Cash and cash equivalents		20,348	16,485
TOTAL CURRENT ASSETS		470,715	446,823
TOTAL ASSETS		2,482,432	2,476,693
EQUITY AND LIABILITIES			
Equity			
Share capital	10	1,700,000	1,700,000
Treasury shares	10	(6,459)	-
Retained earnings		359,505	342,315
TOTAL EQUITY		2,053,046	2,042,315
Non-current liabilities			
Employees' defined benefit obligations		48,785	47,684
Non-current portion of lease liability		1,827	1,827
Rehabilitation provision		1,238	1,217
Long term borrowing	11	197,962	205,962
TOTAL NON-CURRENT LIABILITIES		249,812	256,690
Current liabilities			
Provision for zakat	12	8,457	6,927
Current portion of lease liability		269	269
Current portion of long-term borrowing	11	63,674	61,357
Short-term financing	11	30,000	30,000
Contract liability-advances from customers		4,671	5,542
Trade payables		53,875	46,958
Accrued and other payables		17,174	25,181
Dividends payable		1,454	1,454
TOTAL CURRENT LIABILITIES		179,574	177,688
TOTAL LIABILITIES		429,386	434,378
TOTAL EQUITY AND LIABILITIES		2,482,432	2,476,693

CFO

Board of Directors member
and CEO

Authorized Board Member and
Chairman of the Audit Committee

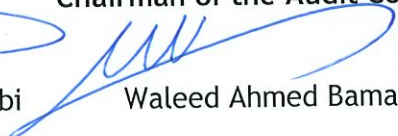
Rami Jawad Abu Jneid

Abdulsalam Abdullah Aldraibi

Waleed Ahmed Bamarouf

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Profit or Loss
(All amounts in thousands Saudi Riyals unless otherwise stated)

		<i>For the three-month period ended 31 March</i>	
		2025 <i>(Unaudited)</i> S'000	2024 <i>(Restated note 19)</i> <i>(Unaudited)</i> S'000
	<i>Note</i>		
Sales	13	135,240	138,127
Cost of sales		(101,406)	(101,649)
Gross profit		33,834	36,478
Selling and distribution expense		(1,958)	(2,503)
General and administrative expense		(9,132)	(9,301)
Operating profit		22,744	24,674
Finance costs		(4,776)	(6,411)
Other income		752	1,163
Profit before zakat		18,720	19,426
Zakat	12	(1,530)	(1,530)
Net profit for the year		17,190	17,896
EARNINGS PER SHARE			
Basic and diluted earnings per share attributable to equity holders of the Company (S)	14	0.10	0.11

 CFO Rami Jawad Abu Jneid	 Board of Directors member and CEO Abdulsalam Abdullah Aldraibi	 Authorized Board Member and Chairman of the Audit Committee Waleed Ahmed Bamarouf
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Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Comprehensive Income
(All amounts in thousands Saudi Riyals unless otherwise stated)

	<i>For the three-month period ended 31 March</i>	
	2025 <i>(Unaudited)</i> S'000	2024 <i>(Restated note 19)</i> <i>(Unaudited)</i> S'000
NET PROFIT FOR THE PERIOD	17,190	17,896
OTHER COMPREHENSIVE INCOME	-	-
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	17,190	17,896



CFO

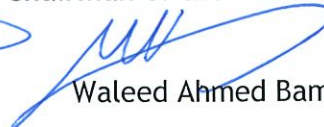
Rami Jawad Abu Jneid



Board of Directors member
and CEO

Abdulsalam Abdullah Aldraibi

Authorized Board Member and
Chairman of the Audit Committee



Waleed Ahmed Bamarouf

The attached notes from 1 to 20 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Changes in Equity
(All amounts in thousands Saudi Riyals unless otherwise stated)

	Share capital ﷲ'000	Treasury shares ﷲ'000	Statutory reserve ﷲ'000	Retained earnings ﷲ'000	Total Equity ﷲ'000
As at 1 January 2025 - (Audited)	1,700,000	-	-	342,315	2,042,315
Net profit for the period	-	-	-	17,190	17,190
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	17,190	17,190
Treasury shares	-	(6,459)	-	-	(6,459)
Balance as at 31 March 2025 (Unaudited)	1,700,000	(6,459)	-	359,505	2,053,046
As at 1 January 2024 (Audited)	1,700,000	-	162,193	111,869	1,974,062
Net profit for the period (<i>Restated note 19</i>)	-	-	-	17,896	17,896
Other comprehensive income	-	-	-	-	-
Total comprehensive income for the period	-	-	-	17,896	17,896
Balance as at 31 March 2024 (<i>Restated note 19</i>) (Unaudited)	1,700,000	-	162,193	129,765	1,991,958

CFO

Rami Jawad Abu Jneid

Board of Directors member
and CEO

Abdulsalam Abdullah Aldraibi

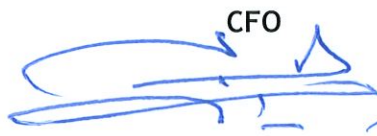
Authorized Board Member and
Chairman of the Audit Committee

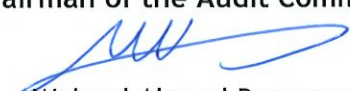
Waleed Ahmed Bamarouf

The attached notes from 1 to 20 form an integral part of these interim condensed consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)
Interim Condensed Consolidated Statement of Cash Flows
(All amounts in thousands Saudi Riyals unless otherwise stated)

		<i>For the three-month period ended 31 March</i>	
		2025	2024 (Restated note 19)
	Note	(Unaudited) S'000	(Unaudited) S'000
OPERATING ACTIVITIES			
Profit before zakat		18,720	19,426
<i>Adjustments to reconcile income before zakat to net cash flows:</i>			
Depreciation	7	24,377	23,585
Finance costs		4,776	4,667
Provision for employees' benefits		1,288	1,159
Transfer of property, plant and equipment		-	1,177
Rehabilitation provision		21	-
		49,182	50,014
Working capital adjustments			
Trade receivables		(16)	(3,688)
Inventories		(10,151)	(10,351)
Prepayments and other receivables		(9,862)	3,745
Contract liability - advances from customers		(871)	(398)
Trade payables		6,917	(3,129)
Accrued and other payables		(8,007)	(14,791)
Net cash generated from operations		27,193	21,402
Finance costs paid		(2,459)	
End of service benefits paid		(187)	(1,149)
Net cash generated from operating activities		24,546	20,253
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	7	(6,230)	(7,885)
Disposal of property, plant and equipment		6	-
Net cash used in investing activities		(6,224)	(7,885)
FINANCING ACTIVITIES			
Net movement of short-term loans		-	(20,000)
Payment of long-term loan		(8,000)	-
Purchases of treasury shares	10	(6,459)	-
Net cash used in financing activities		(14,459)	(20,000)
NET INCREASE (DECREASE) IN CASH AND BANK BALANCES		3,863	(7,632)
Cash and cash equivalents at the beginning of the period		16,485	16,015
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD		20,348	8,383

 CFO
 Board of Directors member and CEO
Rami Jawad Abu Jneid Abdulsalam Abdullah Aldraibi

 Authorized Board Member and Chairman of the Audit Committee
Waleed Ahmed Bamarouf

1 CORPORATE INFORMATION

Najran Cement Company ("the Company" or "the Parent Company"), a Saudi Joint Stock Company, registered at Najran on 5 Ramadan 1426 (corresponding to 9 October 2005) under Commercial Registration number 5950010479. On 10 Shaaban 1437 (corresponding to 17 May 2016), the Company was granted an Industrial License, number 2446. The Company's shares are listed in the Saudi stock Market in the Kingdom of Saudi Arabia.

The principal activities of the Company are manufacturing of ordinary portland cement and cement resistant to salts.

These interim condensed consolidated financial statements comprise the Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (One person company) (together referred to as the "Group").

The subsidiary Company is registered as a limited liability Company at Najran was established on 23 Dhul- Hijjah 1441 (corresponding to 8 August 2020) under Commercial Registration number 5950119264. On 02 Shaaban 1442 (corresponding to 15 March 2021), the subsidiary company was granted transportation License, number 11/00007925.

The principal activity of the subsidiary company is land transport of goods.

2 SIGNIFICANT ACCOUNTING POLICIES

2.1 Statement of compliance

These interim condensed consolidated financial statements for the three month periods ended 31 March 2025 have been prepared in accordance with International Accounting Standard (34) "Interim Financial Reporting" as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA"). The Group has prepared these interim condensed consolidated financial statements on the basis that it will continue to operate as a going concern. The management consider that there are no material uncertainties that may cast significant doubt over this assumption. They have formed a judgement that there is a reasonable expectation that the Group has adequate resources to continue in operational existence for the foreseeable future, and not less than 12 months from the end of the reporting period.

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual consolidated financial statements and should be read in conjunction with the Group's annual consolidated financial statements for the year ended 31 December 2024. In addition, results of the interim period ended 31 March 2025 are not necessarily indicative of the results that may be expected for the financial year ending 31 December 2025.

2.2 Basis of measurement

These interim condensed consolidated financial statements are prepared under the historical cost convention using the accrual basis of accounting and going concern concept, except for the following items which are measured as follows:

Items

Employee defined benefit liabilities

Measurement basis

Present value of the defined benefit obligation using projected credit unit method

2 SIGNIFICANT ACCOUNTING POLICIES (Continued)

2.3 Functional and presentation currency

These interim condensed consolidated financial statements are presented in Saudi Riyals (ﷲ), which is also the Group's functional and presentation currency.

2.4 Significant accounting judgements, estimates and assumptions

The preparation of the Group's interim condensed consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities.

The significant judgments made by management in applying the Group's accounting policies and the methods of computation and the key sources of estimation are the same as those that applied to the consolidated financial statements for the year ended 31 December 2024.

3 BASIS OF CONSOLIDATION

These interim condensed consolidated financial statements include the financial information of the Parent Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (One person company) (together referred to as the "Group"), in which the Group exercises control as at 31 March 2025.

<i>Subsidiary name</i>	<i>Country of incorporation</i>	<i>Principal business activity</i>	<i>Effective ownership interest</i>	
			<i>31 March 2025</i>	<i>31 December 2024</i>
Wasl Al Janub Land Transportation Company (One person company)	KSA	land transport of goods	100%	100%

The financial statements of the subsidiary are prepared for the same reporting period as that of the Group, using consistent accounting policies of the Group (note 5).

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

Unrealized losses (if any) are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has control over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee.
- Rights arising from other contractual arrangements.
- The Group's voting rights and potential voting rights.

3 BASIS OF CONSOLIDATION (Continued)

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the period are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the Group is exposed, or has rights, to variable returns from its transactions with the investee and has the ability to affect those returns through exercising its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give the Group the current ability to direct the relevant activities of the investee).
- Exposure, or rights, to variable returns from its transactions with the investee.
- The ability to use its power over the investee to affect its returns.

4 NEW STANDARDS, INTERPRETATIONS AND AMENDMENTS ADOPTED BY THE GROUP

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2024, except for the adoption of new standards effective as of 1 January 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Several amendments apply for the first time in 2025, Which explained in the financial statements of the group but do not have an impact on the interim condensed consolidated financial statements of the Group as at 31 March 2025.

5 SUBSIDIARY

Below is a summary of the financial information of the subsidiary "Wasl Al Janub Land Transportation Company (One person company)" which is a wholly owned subsidiary of Najran Cement Company, this information is based on amounts before intercompany balances and transactions elimination for the group (Note3):

	31 March 2025 (Unaudited) S'000	31 December 2024 (audited) S'000
Summary of statement of financial position		
Non-current assets	128,806	132,768
Current assets	21,849	22,471
Non-current liabilities	79,283	87,179
Current liabilities	24,095	21,866
Net assets	47,277	46,194
	For the three- month period ended 31 March 2025 (Unaudited) S'000	For the three- month period ended 31 March 2024 (Unaudited) S'000
Summary of statement of comprehensive income		
Operating Profit	2,059	3,982
Net Profit	1,083	2,868

6 SEGMENTAL REPORTING

The Group is engaged in one significant operating segment, i.e., manufacturing cement and operates in entirely from the Kingdom of Saudi Arabia and certain foreign jurisdictions. Accordingly, the financial information was not divided onto different geographic or business segments. Further, significant amount of liabilities of the Group are payable in Saudi Arabia.

7 PROPERTY, PLANT AND EQUIPMENT

For purpose of preparing the interim condensed consolidated statement of cash flows, movement in property, plant and equipment during the three-month period ended 31 March is as follows:

	31 March 2025 (Unaudited) S'000	31 March 2024 (Restated note 19) (Unaudited) S'000
Depreciation	24,377	23,585
Additions to property, plant and equipment	(6,230)	(7,885)

8 INVENTORIES

	31 March 2025 (Unaudited) S'000	31 December 2024 (audited) S'000
Raw materials, fuel and packing materials	24,101	18,491
Work in process	306,769	310,194
Finished goods	9,529	6,158
Spare parts - Consumables not for sale	56,948	52,353
Less: Provision for obsolete spare parts	(7,568)	(7,568)
Total	389,779	379,628

9 TRADE RECEIVABLES

9.1 Trade Receivables

	Note	31 March 2025 (Unaudited) S'000	31 December 2024 (Audited) S'000
Trade receivables		23,434	23,418
Less: provision for expected credit loss	9-2	(1,579)	(1,579)
		21,855	21,839

Trade receivables are non-interest bearing and are generally payable on demand.

9.2 Movement in the provision for expected credit loss is as follows:

	31 March 2025 (Unaudited) S'000	31 December 2024 (Audited) S'000
Balance at the end of the period / year	1,579	1,579

10 SHARE CAPITAL

10.1 Share capital

The authorized share capital of the Group comprised 170 million ordinary shares stated at ₪ 10 per share. All shares are issued and fully paid. (31 December 2024: 170 million ordinary shares stated at ₪ 10 per share).

10.2 Treasury shares

On 22 Rabi' al-Awal 1446H (corresponding to 25 September 2024), the Extraordinary General Assembly decided to purchase 17 million shares of the Group and retain them as treasury shares for a period of ten years from the date of the Extraordinary General Assembly's approval, due to the decline in the Group's share price in the market.

On 21 Jumada al-Thani 1446H (corresponding to 22 December 2024), the Extraordinary General Assembly of the Group approved the purchase of these shares.

During the period, the Group purchased 730 thousand shares worth ₪ 6,459 Million.

10.3 Statutory reserve

In accordance with the previous Companies Law in the Kingdom of Saudi Arabia, the Company had allocated a statutory reserve by transferring 10% of its net income to the statutory reserve until it reached 30% of the share capital. This reserve was not available for distribution .

During the year ended 31 December 2024, The Group has updated its Articles of Association in accordance with the new Companies Law. Additionally, the Extraordinary General Assembly approved the transfer of the statutory reserve to retained earnings on 21 Jumada al -Thani 1446H (corresponding to 22 December 2024).

11 LOANS TERM FINANCING

Long & short terms borrowing from commercial banks is presented as follows:

11.1 Long term borrowing

	31 March 2025 ₪'000	31 December 2024 ₪'000
Principal amount, beginning balance	264,808	315,654
Less: repayments during the period/ year	(8,000)	(50,846)
Net principal amount	256,808	264,808
Accrued mark up for the period/ year	4,828	2,511
	261,636	267,319
Long term borrowing -Current portion	(63,674)	(61,357)
Long term borrowing – Non Current portion	197,962	205,962

11.2 Short term financing

	31 March 2025 ₪'000	31 December 2024 ₪'000
Principal amount, beginning balance	30,000	20,000
Draw-down during the period/year	10,000	60,000
Less: repayments during the period/ year	(10,000)	(50,000)
Net Principal amount	30,000	30,000

11 LOANS TERM FINANCING (Continued)

11.3 Tawarruq

During the year 2022, the Parent Company signed banking facilities agreement (Tawarruq) with a local Bank. In the same year the company utilized ₪ 278.5 million which are repayable in seven years over thirteen equal semi-annual instalments starting from May 2023, and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by a promissory note.

During the year 2023, the subsidiary signed banking facilities agreement (Tawarruq) with a local bank and utilized ₪ 80 million long term facilities to finance its capital expenditures. The new facilities are repayable in six years over twelve equal semi-annual instalments starting from September 2024 and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by some of the subsidiary's vehicles and promissory note. The carrying values of the borrowings are denominated in Saudi riyals.

As of 31 March 2025, the short bank facilities balance amounting: ₪ 30 million (31 December 2024: ₪ 30 million), for the working capital purposes of the Group.

The Short-term facilities are repayable in during the next 12 months and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin secured by a promissory note.

All The above loans is sharia compliant.

12 ZAKAT

The movement in zakat payable on the Group was as follows:

	31 March 2025 (Unaudited) ₪'000	31 December 2024 (Audited) ₪'000
Balance at beginning of the period / year	6,927	8,030
Provision during the period / year	1,530	5,726
Paid during the period / year	-	(6,829)
Balance at the end of the period / year	8,457	6,927

The Group submitted its Consolidated Zakat returns to the zakat, Tax and customs Authority (ZATCA) for all the years up to December 31, 2024 and settled the obligations for these years based on the filed Zakat returns. Zakat assessments have been finalized with Zakat, Tax and Customs Authority (ZATCA) for the years 2006 to 2011 and 2014 to 2023.

13 SALES

13.1 Disaggregated sales information

	<i>For the three-month period ended 31 March</i>	
	2025 <i>(Unaudited)</i> ﷲ '000	2024 <i>(Unaudited)</i> ﷲ '000
Product type		
Cement	135,240	138,127
Total sales	135,240	138,127
Customer type		
Corporate customers	135,240	138,127
Total sales	135,240	138,127
Geographical markets		
Local	127,153	134,803
Export	8,087	3,324
Total sales	135,240	138,127

13.2 Performance obligations - point in time

The performance obligation is satisfied at a point in time and payment is generally due in advance or on demand.

14 EARNINGS PER SHARE

The Group presents basic and diluted earnings per share for its ordinary shares. Basic is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. There has been no item of dilution affecting the weighted average number of ordinary shares.

	<i>For the three-month period ended 31 March</i>	
	2025 <i>(Unaudited)</i>	2024 <i>(Unaudited)</i>
Profit for the period attributable to the shareholders of the Company (in ﷲ'000)	17,190	17,896
Weighted average number of ordinary shares for the purposes of basic and diluted earnings Basic ('000 shares)	169,270	170,000
Basic and diluted profit per share based on profit for the period attributable to shareholders of the Company (ﷲ)	0,10	0,11

* The weighted average number of outstanding ordinary shares during the period ended 31 March 2025 has been calculated after calculating the impact of the purchase of treasury shares (note 10-2).

15 CONTINGENCIES AND COMMITMENTS

The Group was contingently liable for letters of credit and bills for collections issued in the normal course of the business amounting to ₪ 28,774 thousand as at 31 March 2025 (31 December 2024: ₪ 24,936 thousand).

16 RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, Board of Directors, the Group key management personnel and enterprises managed or significantly influenced by those parties. The following are the details of major-related parties' transactions during the three-month period ended 31 March 2025 compared to the three-month period ended 31 March 2024:

<i>Due to related parties</i>		<i>Nature of transaction</i>	<i>For the three-month period ended 31 March (Unaudited)</i>	
			<i>2025</i>	<i>2024</i>
<i>Related party</i>	<i>Nature of relation</i>		<i>₪'000</i>	<i>₪'000</i>
Al Masane Al kobra Mining Company.	Some members of the group's Board of directors are members of the company's Board of directors	Sales to related party	-	253

Allowances and compensation of the Board of Directors and senior executives

The Group's senior management includes key management personnel and executives, Board of Directors, having authorities and responsibilities for planning, directing and controlling the activities of the Group.

Board of Directors and committees' compensation charged during the three-month period ended 31 March 2025 amounting to ₪1,212 thousand (31 March 2024: ₪ 954 thousand).

Allowances and compensation of the Board of Directors and senior executives comprised the following:

	<i>31 March 2025 (Unaudited) ₪'000</i>	<i>31 March 2024 (Unaudited) ₪'000</i>
Short term employee benefits	4,164	3,522
Post-employment benefits	82	338
	<u>4,246</u>	<u>3,860</u>

17 FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

17 FAIR VALUE MEASUREMENT (Continued)

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non- financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All financial instruments for which fair value is recognized or disclosed are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement, as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or liability falls into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest input level that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. There were no transfers among the levels during the period.

The management assessed that the fair value of financial assets and financial liabilities approximate their carrying amounts primarily due to the short-term maturities of these instrument.

18 SUBSEQUENT EVENTS

Management believes that there are no material subsequent events that require disclosure or amendment to these condensed consolidated interim financial statements.

19 PRIOR YEARS RESTATEMENT

During 2024, management reassessed the accounting treatments of certain transactions and balances recorded in the consolidated financial statements of prior years to determine whether they had been accounted for in accordance with the International Financial Reporting Standards (IFRS) adopted in the Kingdom of Saudi Arabia. This reassessment was conducted in accordance with the requirements of IAS 8 "Accounting Policies, Changes in Accounting Estimates, and Errors", and the findings are as follows:

19 PRIOR YEARS RESTATEMENT (Continued)

- a) In previous years, the Group used the declining balance method for the depreciation of property, plant, and equipment. During 2024, management engaged an external expert to conduct a comprehensive assessment to evaluate the appropriateness of the declining balance depreciation method currently applied by the Group in accordance with the requirements of IAS 16 "Property, Plant, and Equipment" as adopted in the Kingdom of Saudi Arabia. Consequently, management changed the depreciation method to the straight-line method retrospectively, by adjusting the impacted items for comparative figures.
- b) During 2024, management engaged an external expert to conduct a comprehensive review of spare parts recorded as inventory in the consolidated statement of financial position. The review identified a number of spare parts that meet the definition of property, plant, and equipment in accordance with IAS 16 "Property, Plant, and Equipment". As a result, management corrected the error by adjusting the impacted items on the consolidated financial statements for comparative figures.

Accordingly, the comparative figures have been restated as follows:

	31 March 2024 (Unaudited) S'000 Before Adjustment		31 March 2024 (Unaudited) S'000 After Adjustment
Consolidated statement of profit or loss			
Cost of sales	(97,998)	(3,651)	(101,649)
Net profit for the period	21,547	(3,651)	17,896
Earnings per share	0,13	(0,02)	0,11
Consolidated statement of cash flows			
Net change from operating activities			
Depreciation	21,111	2,474	23,585
Transfer of Property, plant and equipment	-	1,177	1,177
Total	21,111	3,651	24,762

20 APPROVAL OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

These interim condensed consolidated financial statements were authorized for issue by the Group's board of directors on 10/11/1446H (corresponding to 08/05/2025).